

Core Value Strategy

As of 2/28/2015



Investment Approach

- The Core Value strategy pursues a bottom-up, value oriented approach emphasizing companies possessing long product lifecycles and insulated business models that are trading at attractive valuations.
- The strategy may invest across all market capitalizations, but tends to concentrate in mid-to-large capitalization companies.
- The strategy may invest in non-US companies and, on a limited basis, participate in special situation opportunities.

Portfolio Construction

- Horizon maintains a long-term investment perspective and seeks to avoid significant portfolio turnover which has historically averaged 20% to 25% per annum.
- Portfolio typically holds 25 to 50 securities and position sizes generally range from 0.5% to 10.0%.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
S&P 500

Asset Under Management:

Horizon Kinetics (\$bln) 9.2
Strategy (\$mm) 1,814

Inception Date:
January 1996

Portfolio Manager:
Steven Bregman
30 yrs investment experience

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (net)	9.3	6.2	6.2	9.4	18.8	14.7	6.9	11.6
S&P 500 Return	5.7	2.6	2.6	15.5	18.0	16.2	8.0	8.6
Excess Return (net)	3.5	3.6	3.6	-6.1	0.8	-1.5	-1.1	2.9
Standard Deviation (%)	—	—	—	13.8	12.6	16.5	19.8	16.7
Tracking Error (%)	—	—	—	6.3	6.4	6.6	8.9	9.7
Sharpe Ratio	—	—	—	0.7	1.4	0.9	0.4	0.6
Information Ratio (arith)	—	—	—	-1.0	0.1	-0.2	-0.1	0.3
Beta	—	—	—	1.5	1.2	1.2	1.2	0.9
UpMkt Capture Ratio (%)			162	106	107	106	118	100
Down Capture Ratio (%)			95	206	114	124	131	85

Top 10 Holdings	% Port
Jarden Corporation	11.2%
Howard Hughes Corporation	8.8%
Brookfield Asset Management Inc. Class A	6.6%
Wendy's Company	6.0%
AutoNation, Inc.	5.7%
Sears Holdings Corporation	5.3%
Starz Inc Class A	4.9%
DreamWorks Animation SKG, Inc. Class A	4.7%
Platform Specialty Products Corp.	4.3%
L Brands, Inc.	4.1%

Strategy Characteristics	
Number of Positions	40
Avg. Market Cap. (B)	22.4
P/E ⁽¹⁾	19.7
Price/Book ⁽¹⁾	2.1
Dividend Yield	0.5%
Turnover (1 Year) ⁽²⁾	14.4%

(1) Weighted Harmonic Average

(2) Based on Model Portfolio

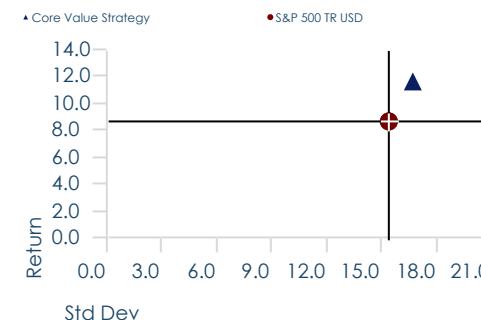
Cumulative Growth of \$100 (net)

Time Period: 12/31/1995 to 2/28/2015



Risk/Reward (net)

Time Period: 1/1/1996 to 2/28/2015



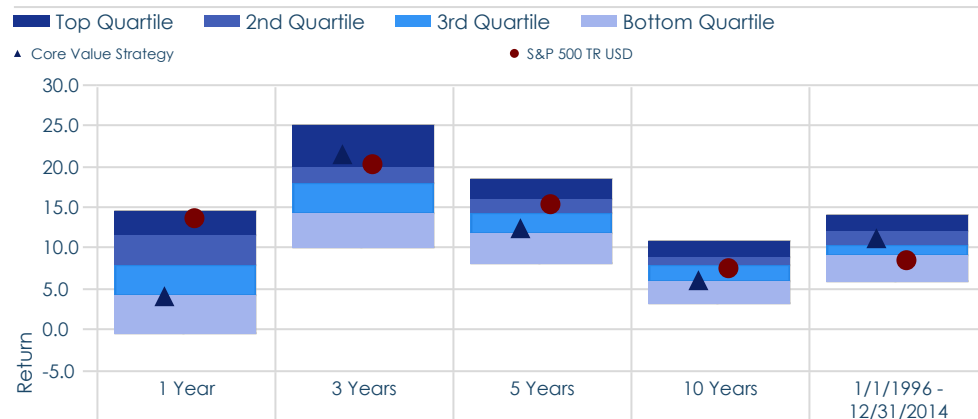
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Performance Relative to Peer Group (net)

As of Date: 12/31/2014 Peer Group (5-95%): Morningstar Institutional - All Cap



Monthly Performance (net)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	-2.8	9.3											6.2	2.6
2014	-4.6	6.1	-0.9	-1.3	2.9	2.1	-4.8	4.5	-2.9	1.9	3.8	-1.9	4.3	13.7
2013	6.7	0.4	3.7	3.9	2.1	-1.2	4.1	-2.1	8.2	4.2	0.5	1.1	36.0	32.4
2012	6.8	6.6	1.3	0.1	-6.5	3.8	2.5	4.0	5.2	1.6	-1.8	1.4	27.0	16.0
2011	0.6	4.4	2.0	2.5	-2.6	-2.0	-2.6	-6.5	-12.3	13.8	-3.7	-3.2	-11.2	2.1
2010	-6.2	3.2	5.7	1.2	-8.6	-3.3	6.8	-4.4	10.0	4.8	-1.5	6.4	12.9	15.1
2009	-8.0	-10.3	7.9	13.7	12.2	-1.4	7.6	-0.2	5.6	-3.7	3.2	1.9	28.5	26.5
2008	-10.9	-4.1	-7.5	7.8	1.2	-12.0	-6.3	-2.2	-13.4	-22.0	-9.5	2.4	-56.5	-37.0
2007	1.2	-1.9	2.4	3.5	6.9	0.2	-1.2	0.4	12.1	7.8	-6.3	1.6	28.7	5.5
2006	6.9	2.2	2.7	1.4	-0.8	-0.5	0.5	0.5	0.5	3.9	7.3	1.2	28.5	15.8
2005	-2.6	3.3	-1.0	-2.9	4.7	3.2	3.9	2.0	3.5	-6.1	0.1	2.0	9.9	4.9
2004	1.3	0.3	0.8	-2.0	1.5	2.1	-0.8	0.3	2.4	2.2	7.0	3.1	19.6	10.9
2003	-1.1	-2.6	1.9	6.0	6.0	1.2	-0.6	4.3	1.6	4.1	3.6	5.3	33.5	28.7
2002	1.3	0.8	1.4	-2.1	1.1	-5.0	-4.3	1.0	-2.8	1.4	1.9	0.7	-4.6	-22.1
2001	-0.9	-1.1	-1.4	1.3	2.0	-1.1	4.3	-1.4	-3.0	0.4	2.7	2.2	3.9	-11.9
2000	1.6	-5.3	11.1	-0.6	0.7	0.6	0.4	2.2	3.4	2.2	-0.9	3.9	20.2	-9.1
1999	2.4	0.0	4.2	3.8	-3.5	1.8	-3.9	-2.8	-5.3	9.4	0.3	-1.6	4.1	21.0
1998	3.8	5.2	5.9	2.4	0.0	9.2	-2.0	-14.6	5.9	5.5	4.9	5.7	34.1	28.6
1997	4.9	1.1	-3.2	5.8	5.6	6.7	3.5	-5.7	6.4	-1.7	3.1	4.7	35.1	33.4
1996	2.2	0.8	1.1	1.8	1.6	0.1	-4.0	2.8	3.6	-0.1	6.9	-1.1	16.5	23.0

Source: Morningstar Direct

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Risk Adjusted Return is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.

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